Downer Environmental Certificate Intelligence Platform

Concept Note for Commercial Discussion

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1. The Opportunity for Downer

Downer operates across multiple energy-intensive sectors — rail, road infrastructure, utilities, and facilities management. Within these operations, and within the operations of Downer's clients, significant energy efficiency upgrades are routinely undertaken. Many of these upgrades are eligible for Energy Savings Certificates (ESCs) or Victorian Energy Efficiency Certificates (VEECs).

Currently, identifying, validating, and monetising these opportunities requires manual, specialist intervention. As a result, significant certificate value is either left unrealised or captured by third parties.

CBS Group proposes deploying a Downer-branded version of the **Water Roads Environmental Index (WREI)** platform. This deployment would provide Downer with a proprietary, enterprise-grade capability to identify certificate opportunities at the point of project origination, validate eligibility, and track compliance exposure across its entire operational footprint and client book.

2. The Platform Capability

The proposed platform is a configured deployment of WREI, operating entirely under Downer's brand and identity. It delivers four core capabilities designed specifically for an infrastructure and services operator:

A. Pre-Validation Diagnostic (Origination)

A tool for Downer's business development and project teams to assess certificate potential during the planning phase of any energy efficiency upgrade.

- **Asset Eligibility Check:** Validates asset type, age, and jurisdiction against current ESS/VEU rules.
- **Energy Cost Attribution:** Maps energy cost responsibility (operator vs. owner vs. tenant) to definitively identify the eligible "energy saver" for nomination purposes.
- **Output:** Generates a structured *Certificate Opportunity Assessment* showing estimated yield, applicable creation method, and estimated financial value.

B. Price Intelligence and Forecasting

Access to WREI's quantitative price forecasting model, providing Downer with the intelligence needed to time certificate creation and sales for maximum return.

- **26-Week Forecast:** Bayesian/XGBoost ensemble model providing directional price signals (Buy/Hold/Sell) with confidence scores.
- **Market Signals:** Real-time visibility of creation velocity, surplus runway, and scheme compliance deadlines.

C. Client Portfolio and Compliance Tracking

A management dashboard tracking the certificate position and compliance exposure of Downer's internal divisions and external clients.

- **Exposure Monitoring:** Calculates penalty exposure for obligated entities based on current shortfalls and statutory deadlines.
- **Position Tracking:** Aggregates certificate holdings and surrender obligations across the portfolio.

D. Project Pipeline Dashboard

An enterprise view of all active and prospective certificate creation opportunities across Downer's operations.

- **Pipeline Visibility:** Tracks opportunities from initial diagnostic through to certificate registration and sale.
- **Value Aggregation:** Provides leadership with a real-time view of the total financial value of the ESC/VEEC pipeline.

3. Commercial Structure and Delivery

The platform would be delivered as a managed service by CBS Group, powered by licensed WREI infrastructure.

The Operating Model:

1. **Infrastructure:** Water Roads Pty Ltd provides the underlying WREI platform and forecasting models.
2. **Managed Service:** CBS Group configures, deploys, and manages the platform on Downer's behalf, providing strategic oversight and programme management.
3. **Execution:** Northmore Gordon (or another Accredited Certificate Provider) handles the regulatory creation and trading execution.

The Value Proposition: For Downer, this platform transforms environmental certificates from an ad-hoc, reactive process into a systematic, data-driven revenue stream. It provides Downer's BD teams with a unique value-add for client engagements (the Certificate Opportunity Assessment) and gives Downer's leadership full visibility and control over its environmental compliance and certificate assets.